CODE HILLS 1001 — Business Plan

Second Flush Spa Co. — Tea (Byproduct Hospitality Wellness)

> Part of the CODE HILLS 1001 business-plan library (6 plans total, built from Rwanda's natural resources: Umuravumba, Tea, Coffee, Umwenya, Sisal). Figures in RWF are labeled estimates — verify current local prices, supply arrangements, and regulatory requirements (RDB/RFDA/technical institute) before investing.

PREMIUM BUSINESS 2 — "Second Flush Spa" (Tea — byproduct hospitality wellness line)

1. Business Identity

- **Name:** Second Flush Spa Co.
- **Tagline:** *"The tea that never made the export grade, elevated."*
- **Resource:** Tea — specifically **broken/fannings/dust grades and factory off-cuts** that tea factories sort out of the premium export leaf, currently sold cheaply in bulk rather than used for a differentiated product.
- **Concept:** A B2B supplier of tea-derived hospitality wellness amenities — bath soak sachets, pillow/linen mist, and a tea-steam spa treatment kit — sold to eco-lodges, boutique hotels, and spa operators, built entirely around the **lower-grade tea fraction** rather than competing in the premium leaf export market.
- **What makes it unique:** This is not a tea brand or tea shop. It never touches the premium export-leaf market at all; it is a **hospitality wellness-amenity business** built on a byproduct grade most tea businesses ignore.

2. Problem

Rwanda's tea sector exports premium leaf grades, while lower grades (broken leaf, fannings, dust) are sold at much lower prices in bulk, often for blending or low-value use, leaving real value on the table for factories and cooperatives. Meanwhile, Rwanda's boutique hospitality and eco-tourism sector is actively seeking distinctive, locally sourced wellness amenities that fit a "premium eco-luxury" guest experience, rather than imported spa product lines. **[ASSUMPTION — VERIFY LOCALLY: exact price gaps between grades and current off-take arrangements vary by factory/cooperative; confirm directly before contracting.]**

3. Solution

Second Flush Spa Co. purchases lower-grade tea directly from factories/cooperatives at a fair but still low per-kilogram rate, and transforms it into hospitality wellness products — sold on a standing supply contract to hotels/spas as part of their in-room and treatment-room amenity offering.

4. Product

- **Tea Bath Soak Sachets:** Muslin sachets of blended tea fannings and dried umuravumba/lemongrass (cross-resource blending opportunity) for bath infusions in guest rooms.
- **Pillow & Linen Mist:** A tea-extract-based linen spray for housekeeping teams to use during turndown service.
- **Tea-Steam Facial/Spa Treatment Kits:** Bulk-supplied loose tea for spa-room steam treatments, with a simple treatment protocol card supplied to the hotel's spa staff (Second Flush Spa Co. does not perform treatments itself — it supplies the input and protocol, a B2B model, not a spa-operating model).
- **Format:** Bulk B2B supply contracts with hotel amenity/spa departments; not sold directly to individual consumers.
- **Why customers want it:** A locally rooted, distinctive amenity story ("Rwandan tea-garden wellness") that differentiates a hotel's guest experience from generic imported spa product lines, at a materially lower input cost than imported wellness amenities.
- **Hard to confuse with an ordinary tea product** because the company **never sells drinkable packaged tea** — its entire product line is non-beverage hospitality wellness amenities built from a grade of leaf the beverage market itself does not want.

5. Sustainability

- **Sourcing:** Uses tea grades that are already being separated out during normal factory processing — no additional tea cultivation or land use is required to supply this business.
- **Waste minimization:** Spent sachets/mist bottles are designed for either compostability (sachets) or refill (mist bottles, following the same reusable-bottle logic as Low-Capital Business 2).
- **Packaging:** Muslin/cotton sachets (compostable), refillable glass mist bottles collected and refilled at each hotel restock visit.
- **Energy/water:** Minimal processing (blending, sachet-filling, mist infusion); no significant energy or water inputs beyond basic hygiene washing of equipment.
- **End-of-life:** Sachet contents are fully compostable in hotel/estate compost systems; mist bottles are reused for years, not discarded.
- **Path toward zero-waste:** As the mist-bottle refill network matures, single-use packaging can be eliminated almost entirely from this business line.

Investment

- **Minimum viable investment:** Sachet-filling equipment (manual), basic blending space, initial byproduct-grade tea purchase, sample production for 2–3 pilot hotels — **[ASSUMPTION]** roughly 2,500,000–4,000,000 RWF.
- **Recommended investment:** Adds a small mist-bottling line, cold-storage for extract stability, and a dedicated hospitality sales role — roughly 7,000,000–12,000,000 RWF.
- **Major equipment:** Sachet-filling jig, extraction vessel for mist base, bottling/capping tools, basic quality-testing kit (pH/stability for the mist product).
- **Facility:** A small clean workroom (not a full cosmetics factory) meeting basic hygiene standards for a non-ingested cosmetic-adjacent product.
- **Staffing:** 2–3 production staff, 1 hospitality-focused sales/account manager.
- **Working capital:** Needed to prepay for byproduct-grade tea in bulk ahead of finished-product sales cycles.
- **Compliance:** As a cosmetic-adjacent (skin/linen contact, not ingested) product line, confirm current RFDA cosmetic-product requirements before selling the mist product commercially — **[VERIFY CURRENT REQUIREMENTS BEFORE SCALING.]**

Revenue Model

- Standing monthly hotel amenity supply contracts (sachets + mist refills), priced per room/month or per case.
- **Conservative scenario:** A handful of boutique hotel/eco-lodge clients, modest volume.
- **Moderate scenario:** Several boutique properties plus one mid-size hotel spa contract.
- **Ambitious scenario:** A regional hotel group contract across multiple properties, plus a wholesale line to independent spa operators.
- Major expenses: byproduct-grade tea purchase, sachet/bottle materials, labor, hospitality account-management time, delivery/logistics.
- Net profit depends on contract stability; this is a relationship-driven B2B business, not a high-volume transactional one.

B2B Strategy

- Target buyers: hotel spa managers, general managers of boutique/eco-lodge properties, housekeeping department heads (for the linen mist).
- Decision-makers care about: guest-experience differentiation, consistent supply, a genuine story they can tell guests, and price versus imported alternatives.
- Pilot approach: free trial amenity kit for one property for a defined guest season, with a simple guest-feedback card the hotel can use internally.
- Contract path: written standing supply agreement once the hotel confirms guest reception and reliability.

Premium Positioning

Customers (hotels) pay more, and can charge guests a premium experience, because of the **local-terroir wellness story**, the byproduct-based sustainability angle, and the convenience of a single reliable local supplier versus importing spa amenities.

Export Potential

Export potential is limited for the amenity products themselves (bulky, hospitality-service-specific), but the **underlying tea-byproduct sourcing model** could be replicated for hotel groups in neighboring countries with similar tea sectors — a business-model export rather than a physical-product export. **[ASSUMPTION, unverified, longer-term.]**

Environmental Impact

Qualitatively, this business monetizes a tea grade that already exists as a byproduct of normal factory sorting, avoiding the need for imported spa/wellness product inputs and their associated shipping footprint; no precise environmental statistics should be claimed without direct measurement.

6. Target Customers

Boutique hotels, eco-lodges, hotel spa departments, and secondarily independent spa/wellness operators.

7. Competitive Advantage

- **Advantage source:** Byproduct sourcing relationships with tea factories/cooperatives, combined with a genuinely different product category (hospitality wellness amenities) from anything a beverage-tea competitor offers.
- **Why competitors may not immediately copy this:** Requires simultaneous credibility in tea-factory sourcing *and* hospitality/spa B2B sales — two very different relationship networks that a typical “Rwandan tea brand” idea does not combine.

8–16: Requirements, Budget, Process, Marketing, Sales, Growth, Risks, 90-Day Plan (condensed)

- **Requirements:** Factory/cooperative byproduct-grade supply agreement, sachet-filling and mist-bottling equipment, hygiene-compliant workroom.
- **Unit economics (illustrative):** Amenity sachet cost of goods substantially below its wholesale hotel price due to low-cost byproduct-grade input, with the main added cost being processing labor and hospitality account management — **[ASSUMPTION — VERIFY WITH REAL FACTORY QUOTES].**
- **Process:** Purchase byproduct-grade tea → blend/dry as needed → fill sachets or prepare mist extract → bottle/package → quality-check → deliver on a restock schedule.

- **Marketing (first 30 days):** Direct pitch to 3 boutique hotel spa/GM contacts with a free trial kit; document guest reactions for future sales materials.
- **Sales:** B2B contract-based; pricing via written quotes; first customers from direct boutique-hospitality outreach; feedback via hotel guest comment data shared back by the property.
- **Growth:** Single pilot hotel → multiple boutique properties → regional hotel group contract → cross-border business-model licensing.
- **Risks:** Byproduct-grade price/availability shifts, hotel procurement slowness, cosmetic-compliance requirements, competition from imported amenity brands — mitigated by multi-factory sourcing, early compliance check, patient relationship-building, and leading with local-story differentiation.
- **90-Day Plan:** Weeks 1–3 secure byproduct-grade tea supply agreement and test formulations; weeks 4–6 produce trial kits and pitch 3 boutique properties; weeks 7–9 refine based on guest feedback and sign first paid pilot; weeks 10–12 register business, confirm compliance requirements, and plan second hotel account.

Originality Test

1. **Obvious idea:** A packaged specialty tea brand or a tea shop/café.
2. **Structural difference:** Never sells drinkable tea; builds an entire non-beverage hospitality wellness product line from the byproduct grade the beverage market rejects.
3. **Distinctive combination:** Resource (off-grade tea) + problem (undervalued factory byproduct + hotel demand for local wellness amenities) + customer (hotel spa/housekeeping departments) + product category (non-beverage amenities) + sourcing (factory byproduct agreement).
4. **Hard to copy because:** Requires simultaneous tea-factory sourcing relationships and hospitality/spa B2B sales credibility — two networks rarely combined in one venture.